

Employing in Papua New Guinea

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under PNG employment law
- **Monthly payroll** — salary payments in PGK, itemised payslips
- **Tax withholding** — progressive PAYE income tax withheld and remitted to the IRC
- **NASFUND** — mandatory superannuation contribution administration
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

PNG's private-sector labour law does not formally regulate probationary periods — including a probation clause in a contract carries legal risk, since it may not be enforceable for termination purposes. Employers should seek local advice on performance management for new hires rather than relying on a probation clause alone.

Item	Detail	Legal Basis
Probation period	Not formally regulated by private-sector labour law; enforceability is uncertain	Employment Act (limited coverage)
Payslip requirement	Not legally mandatory, but strongly recommended as good practice	Employer discretion
Uniform national minimum wage	PNG applies a single national rate — no separate industry-specific or location-based minimum wages	Minimum Wages Board

Minimum Wage & NASFUND Contributions (2026)

Measure	Rate	Notes
Minimum wage	K5.00/hour	Effective 1 January 2026, set by the Minimum Wages Board; a single national rate with no sector variation
NASFUND (employer)	~8.4% of gross salary	Mandatory superannuation contribution; employee adds ~6%

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Typically 14 days/year (varies by employer/industry practice)	Employer	Employment Act minimum, commonly enhanced in practice
Sick Leave	Typically 6–10 days/year, employer-dependent	Employer	Practice-based rather than tightly codified
Maternity Leave	Typically up to 6 weeks, employer-dependent	Employer	Less standardised than in many other jurisdictions — confirm the applicable policy with your HeroForce EOR

★ HERO TIP

PNG's employment law framework leaves more to employer discretion and market practice than most countries in this guide series — probation enforceability, sick leave, and maternity leave are not tightly codified in the way they are elsewhere. Many competitive employers offer benefits well above the informal norm to attract and retain skilled staff, given PNG's high cost of living and limited public services. Confirm current market-standard benefits with your HeroForce EOR when structuring an offer.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
NASFUND, employer (8.4%)	\$252.00	8.40%
EOR service fee (HeroForce, Tier 3)	\$850.00	28.33%
Estimated total monthly cost	~\$4,102.00	~136.7%

HeroForce EOR service fee shown at USD \$850 per employee per month, no setup fee (Tier 3 pricing — the highest Tier 3 rate, reflecting PNG's smaller EOR provider market and higher operational complexity). Employee deductions (withheld separately) include the NASFUND employee share (~6%) and progressive PAYE income tax under IRC's tables.

Termination & Separation

Notice periods and severance for PNG are less uniformly codified than in many jurisdictions covered in this series — specific obligations often depend on the individual contract terms and any applicable industry practice. Always confirm the current notice and severance framework with your HeroForce EOR before finalising a PNG termination.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
5-6 April	Easter Sunday and Monday	National
~June	Queen's Birthday (King's Birthday)	National
16 September	Independence Day	National
25 December	Christmas Day	National
26 December	Boxing Day	National

Ready to hire in Papua New Guinea?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Papua New Guinea employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$850** per employee per month, no setup fee (Tier 3).